



# Wadhvani Ignite CONCEPT BOOKLET

## Module 9

### Lesson 1&2: Deep Dive into Financial Planning

#### Context:

When launching a new business, **financial planning is crucial**. Once you have *identified the initial costs* to get your startup off the ground, it's time to **develop projections for the next year**.

This involves evaluating your financial needs, setting clear goals, creating a budget, and **making informed decisions to optimize your company's finances**. Additionally, you will need to estimate revenue streams, understand cash flows, and determine how long it will take to break even and start turning a profit.

You need to **know your numbers** and be able to **back up your projections with data and facts**. This means having an in-depth understanding of your finances, including how much money you currently have, what funds you will need to reach profitability, and how long it will take you to get there.

# Program overview, and your **Venture Journey** over 14 weeks

| 1. Problem Identification                                                                                                                                                                                               | 2. Customer Identification & Needs Validation                                                                                                                                                                                                                                                           | 3. Solution Idea Generation                                                                                                                                                                |
|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Week 1-2                                                                                                                                                                                                                | Weeks 2-4                                                                                                                                                                                                                                                                                               | Week 4                                                                                                                                                                                     |
| <ul style="list-style-type: none"> <li>■ Orientation</li> <li>■ Develop Macro Industry-Problem view</li> <li>■ Assemble “Real-World” Problems</li> <li>■ Examine Chosen Problems</li> <li>■ Analyze Problems</li> </ul> | <ul style="list-style-type: none"> <li>■ Identify customer segments</li> <li>■ Assess ‘jobs-to-be-done’</li> <li>■ Develop Customer Personas</li> <li>■ Understand Customer Validation</li> <li>■ Validate Customer-Problem fit</li> <li>■ Pivot/Refine Customer-Problem Fit for Feasibility</li> </ul> | <ul style="list-style-type: none"> <li>■ Understand Ideation techniques</li> <li>■ Generate Solution Idea</li> </ul>                                                                       |
| 4. Opportunity & Competition Mapping                                                                                                                                                                                    | 5. Prototype Development & MVP                                                                                                                                                                                                                                                                          | 6. Opportunity Feasibility Assessment & Sizing                                                                                                                                             |
| Week 5                                                                                                                                                                                                                  | Week 6                                                                                                                                                                                                                                                                                                  | Week 7-8                                                                                                                                                                                   |
| <ul style="list-style-type: none"> <li>■ Identify Global competitors</li> <li>■ Review Industry Trends and Estimate Market Size (TAM)</li> <li>■ Introduction to Financial Planning</li> </ul>                          | <ul style="list-style-type: none"> <li>■ Overview of Prototypes &amp; MVP</li> <li>■ Build an Initial Prototype</li> <li>■ Prototype for Early Validation</li> </ul>                                                                                                                                    | <ul style="list-style-type: none"> <li>■ Map your Relative Position in the Market</li> <li>■ Estimate Opportunity Size</li> </ul>                                                          |
| 7. Business Modelling                                                                                                                                                                                                   | 8. Marketing & Sales Strategy                                                                                                                                                                                                                                                                           | 9. Financial Management for Profitability                                                                                                                                                  |
| Week 8-9                                                                                                                                                                                                                | Week 9-10                                                                                                                                                                                                                                                                                               | Week 11-12                                                                                                                                                                                 |
| <ul style="list-style-type: none"> <li>■ Examine Revenue Model</li> <li>■ Revenue Models continued</li> <li>■ Review and Organize the Lean Canvas</li> <li>■ Build the LC for your Startup</li> </ul>                   | <ul style="list-style-type: none"> <li>■ Understand Marketing &amp; Sales</li> <li>■ Recommend a Go-To-Market (GTM) Approach</li> <li>■ Map a Sales Process</li> </ul>                                                                                                                                  | <ul style="list-style-type: none"> <li>■ Deep Dive into Financial Planning</li> <li>■ Analyze the Path to Profitability</li> <li>■ Understand Bootstrapping and Funding Options</li> </ul> |
| 10. Team & Talent Requirement                                                                                                                                                                                           | 11. Orientation for Scale                                                                                                                                                                                                                                                                               | 12. Venture Idea Feasibility Presentation                                                                                                                                                  |
| Week 12                                                                                                                                                                                                                 | Week 13                                                                                                                                                                                                                                                                                                 | Week 14                                                                                                                                                                                    |
| <ul style="list-style-type: none"> <li>■ Finding Co-founders and Mentors</li> <li>■ Building an Initial Team</li> </ul>                                                                                                 | <ul style="list-style-type: none"> <li>■ Thinking Beyond the Prototype - Scale Opportunity &amp; Orientation</li> <li>■ Persuasive Story-Telling for a Viable Venture Idea</li> <li>■ Pitch preparation</li> </ul>                                                                                      | <ul style="list-style-type: none"> <li>■ Practice Pitch</li> <li>■ Final Pitches</li> </ul>                                                                                                |

## Concepts Covered in this Lesson:

|                                                                                                                                                                                                                                                            |                                                                                                                                                                                                               |
|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>A. Start-Up Costs as per stage</b> <ul style="list-style-type: none"><li>• What are Start-up costs?</li><li>• Understand:<ul style="list-style-type: none"><li>• Pre- Launch Costs</li><li>• At Launch Costs</li><li>• Growth Costs</li></ul></li></ul> | <b>B. Financial planning and management</b> <ul style="list-style-type: none"><li>• Understanding financial planning and management</li><li>• Benefits of financial management.</li></ul>                     |
| <b>C. Financial Projections</b> <ul style="list-style-type: none"><li>• Key Terms</li><li>• Key documents</li></ul>                                                                                                                                        | <b>D. Understanding Unit Economics and Pricing</b> <ul style="list-style-type: none"><li>• How are they interrelated?</li><li>• Key Metrics of Unit Economics</li><li>• How to drive sustainability</li></ul> |
| <b>E. Your Path to Profitability: Develop a viable financial projection.</b> <ul style="list-style-type: none"><li>• Objective and process</li><li>• Key assumptions to reach viability.</li><li>• Analysis to understand and build.</li></ul>             |                                                                                                                                                                                                               |

## After completing this lesson, you will be able to:

- Learn about startup costs based on the stage/maturity of the venture
- Understand the key components that influence a business's profitability, including revenue streams, cost structure, and market dynamics.

- Gain insights into financial planning techniques such as budgeting, forecasting, and cash flow management to optimize financial performance.
- Develop the ability to assess risks and opportunities in the business environment.

### Steps for you to take:

- Understand the type of costs you will incur due to the stage and type of your start-up
- Review financial statements, including income statements, balance sheets, and cash flow statements, to understand the company's current financial position.
- Understand how each of these are interrelated and affect each other.
- Learn to develop financial projections.

### A. Start-Up Costs

**Startup costs** are the expenses required to get your new business off the ground at the different pre-venture stages.

These include one-time and initial operational expenses that ensure your business is ready to operate smoothly and efficiently from day one.

Startup costs are generally divided into three buckets based on the stage of your start-up:

Prelaunch Costs  
At Launch Costs, and  
Growth Costs

### Prelaunch Costs

Prelaunch costs are incurred before your business officially opens its doors. These are essential investments to prepare your

business for a successful launch. Key prelaunch cost heads include:

1. **Market Research:** Expenses for conducting surveys, focus groups, and other research methods to understand your target market, customer needs, and competitive landscape.
2. **Business Plan Development:** Costs for drafting a comprehensive business plan, which may include hiring consultants or using business planning software.
3. **Product or Service Development:** Expenses for designing, developing, and testing your product or service, including prototype creation and refinement.
4. **Branding and Logo Design:** Costs associated with creating your brand identity, including hiring designers for logos, brand guidelines, and other visual elements.
5. **Website Creation:** Expenses for developing a professional website, which may include hiring web developers, purchasing domain names, and hosting services.
6. **Initial Inventory:** Costs for procuring the raw materials for the first batch of products or raw materials needed to start production or sales.
7. **Legal Fees:** Expenses for legal services such as incorporating your business, trademarking your brand, and drafting contracts and agreements.
8. **Permits and Licenses:** Costs for obtaining necessary permits and licenses required to legally operate your business in your industry and location.

9. **Office or Production Space:** Initial costs for securing and setting up office or production space, which may include rent, security deposits, and any necessary renovations or furnishings.

## **At-Launch Costs**

At-launch costs are the expenses incurred when your business officially opens its doors and begins interacting with customers. These costs are focused on making a strong initial impact and ensuring your operations are ready to meet customer demands. Key at-launch cost heads include:

1. **Marketing & Advertising:** Expenses for launch campaigns designed to drive awareness and customer acquisition through various channels such as social media, email marketing, and paid advertisements.
2. **Inventory & Production:** Costs for purchasing the initial stock of products or materials needed for production to ensure you can meet customer orders from day one.
3. **Website & Platform Launch:** Finalizing and launching your website or online platform, including any last-minute tweaks, testing, and optimizations to ensure a smooth user experience.
4. **Events & Promotions:** Costs associated with organizing launch events, product demos, or special offers to attract and engage customers, creating buzz around your new business.
5. **Professional Services:** Fees for hiring consultants, freelancers, or agencies to handle launch-specific tasks such as PR, graphic design, or technical support to ensure a successful and professional launch.

## Growth Costs

Growth costs are the expenses incurred as your business expands and scales operations to meet increasing demand and pursue new opportunities. These costs ensure that your business can sustain its growth trajectory and continue to thrive. Key growth cost heads include:

1. **Marketing & Customer Acquisition:** Ongoing expenses for marketing campaigns, SEO efforts, social media management, and content creation to attract and retain customers.
2. **Operations & Personnel:** Costs for salaries, benefits, office expenses, supplies, and other ongoing expenses necessary for the day-to-day running of the business.
3. **Product Development & Maintenance:** Continuous investment in improving products, fixing bugs, and developing new features to stay competitive and meet customer needs.
4. **Customer Support & Service:** Expenses associated with providing customer support, including hiring support staff, implementing support systems, and handling customer issues.
5. **Growth & Expansion:** Costs related to scaling your business, such as additional marketing efforts, hiring new employees, expanding infrastructure, and potential fundraising activities to support growth initiatives.

## B. Financial Planning and Management

### What is Financial Planning and Management?

Let's start by understanding financial planning. Financial planning is the **process of setting financial goals, developing strategies to achieve them, and creating a comprehensive plan to manage financial resources effectively**. It ensures financial stability, prepares for unexpected expenses, and helps achieve specific financial targets.

**Effective financial management** ensures that an organization can meet its short-term obligations, invest in growth opportunities, and maintain financial stability. Key components include **financial planning, controlling costs, optimizing revenue, and assessing financial performance through metrics and reports**. It plays a crucial role in strategic decision-making and overall business success.

### Benefits of Financial Management

- **Realistic Projections:** By forecasting revenues, expenses, and cash flows accurately, entrepreneurs can anticipate challenges, identify growth opportunities, and allocate resources effectively.
- **Compliances:** Ensuring compliance is essential for maintaining legal and ethical integrity. It refers to adhering to laws, regulations, standards, and ethical practices relevant to the company's industry, jurisdiction, and operations.
- **Financial Control:** This includes establishing internal controls to safeguard assets, ensuring compliance with financial regulations, and optimizing financial performance. Financial control mechanisms include budgeting, variance analysis, internal audits, and segregation of duties



- **Investor Confidence:** Investors prefer a strategic approach to achieving financial success. They need to trust and believe in the stability, performance, and prospects of a particular investment or market.

## C. Financial Projections

Developing **financial projections** involves creating an estimate of **future financial performance** based on a variety of factors. This process starts with analyzing historical data, if available.

Key elements include **projecting revenue** by **estimating sales volumes and pricing**, **forecasting expenses** by considering both fixed and variable costs, and evaluating potential cash flows to understand liquidity needs.

These projections help in setting realistic financial goals, planning budgets, and making strategic decisions to ensure the business's long-term sustainability and growth.

### Key Terms

You need to familiarize yourself with common terms associated with financial projections.

### **COSTS, BUDGET, BURN RATE**

- **Cost of Goods Sold (COGS):** The direct costs attributable to the production of the goods sold by a company, including materials and labor.
- **Operating Expenses:** The expenses required for the day-to-day functioning of a business that are not directly tied to the production of goods or services, such as rent, utilities, salaries, and marketing.
- **Fixed Costs:** Business expenses that remain constant regardless of the level of production or sales, such as rent, salaries, and insurance.

- **Variable Costs:** Costs that vary directly with the level of production or sales, such as raw materials and direct labor costs.
- **Capital Expenditures (CapEx):** Funds used by a company to acquire or upgrade physical assets such as property, industrial buildings, or equipment.
- **Budget:** A financial plan that estimates income and expenses over a specific period, guiding how a business will allocate its resources.
- **Cash Burn:** The rate at which a company uses up its cash reserves or capital to cover operating expenses, usually measured monthly. Startups must monitor cash burn to ensure they have enough funds to sustain operations until they become profitable.

## **REVENUE, INCOME, BREAK-EVEN, PROFITS**

- **Gross Revenue:** The total revenue generated from sales or services before any expenses or deductions are subtracted.
- **Net Revenue:** The total revenue of a business after deducting returns, allowances for damaged or missing goods, and any discounts allowed.
- **Break-Even Point:** The level of sales at which total revenues equal total costs, resulting in neither profit nor loss. It is the point where the business starts to cover all its expenses.
- **Gross Profit:** Net Revenue minus COGS. It represents the profit made from core operations before operating expenses are deducted.
- **Operating Income:** Gross Profit minus Operating Expenses. This measures the profitability of the business operations.
- **EBITDA (Earnings Before Interest, Taxes, Depreciation, and Amortization):** A measure of a company's overall financial performance and profitability, excluding the impact of financing, accounting decisions, and tax environments.
  - **Depreciation:** The gradual reduction in the value of an asset over time due to wear and tear or obsolescence.

It is used in accounting to allocate the cost of an asset over its useful life.

- **Net Income:** The total profit of a company after all expenses, including taxes, interest, depreciation, and operating costs, have been deducted from total revenue.
- **Profit Margin:** A measure of profitability, calculated as Net Income divided by Net Revenue. It shows how much profit a company makes for every dollar of sales.
- **Forecast:** A projection of future financial outcomes based on historical data, trends, and assumptions about future conditions.

By understanding and analyzing these terms, you can

- a) understand the financial health of your startup
- b) develop comprehensive financial projections understanding how much money you need for what and when to meet your sales target
- c) make informed decisions for your business.

## Key Documents

When building financial projections, several key documents are commonly used to gather data, make informed assumptions, and present the projections. Here are the primary documents involved:

- **Income Statement (Profit and Loss Statement):** A financial report that shows the company's revenues, expenses, and profits over a specific period. It helps in understanding the operational efficiency and profitability of the business.
- **Balance Sheet:** A snapshot of the company's financial condition at a specific point in time. It lists the company's assets, liabilities, and equity, providing a clear picture of its financial health.

- **Cash Flow Statement:** A document that shows how changes in the balance sheet and income statement affect cash and cash equivalents. It breaks down cash flow into operations, investing, and financing activities.

Using these documents, businesses can create detailed and accurate financial projections, enabling better decision-making and strategic planning.

## **D. Understanding Unit Economics and Pricing**

After understanding the importance of financial planning, and familiarizing yourself with key financial terms, and documents, let's understand unit economics.

Imagine you're on a thrilling trek through the Himalayas. You've packed essential supplies, but to truly reach the summit, you need a reliable compass. In the business world, pricing and unit economics act as your compass, guiding you towards financial sustainability.

By understanding these concepts, you'll be able to set prices that not only attract customers but also ensure your business thrives in the long run.

So, how exactly do pricing and unit economics work together? Let's break it down:

Unit Economics refers to the economics of a single unit of your product or service. Think of it as a detailed breakdown of the costs associated with acquiring a customer and the revenue they generate over time.

Pricing Strategy considers multiple factors like target market, production costs, competitor pricing, and your desired profit margin to determine the price of the product or service

## The key metrics for Unit Economics are:

- **Customer Acquisition Cost (CAC):** How much does it cost you to acquire a new customer? This includes marketing expenses, sales commissions, and any other costs associated with bringing a customer on board.
- **Average Revenue Per User (ARPU):** How much revenue do you generate on average from a single customer? This can be calculated as total revenue divided by the number of customers.
- **Customer Lifetime Value (CLV):** How much total revenue is a customer expected to generate throughout their relationship with your business? This takes into account ARPU and the average customer lifespan.

## How can you drive Financial Sustainability?

Reminder: Businesses exist to build revenue and profitability.

The Golden Question: How do Pricing and Unit Economics Drive Sustainability?

Here's where things get exciting! Financial sustainability boils down to a simple equation:

$$CLV > CAC$$

In simpler terms, the **total value you get from a customer over their lifetime** needs to be **greater** than the **cost of acquiring that customer**.

**Pricing strategy** and developing effective **marketing & sales strategies** plays a crucial role in achieving this equation and are important part of the metrics any business.

## Key Metrics for profitability

Here is an illustration of how:

### 1. Setting the Right Price:

If you price your product too low, you might attract a lot of customers, but you won't generate enough revenue to cover your CAC.

On the other hand, pricing too high might scare away customers altogether.

By analyzing your unit economics, you can find the sweet spot - a price point that allows you to acquire customers profitably.

### 2. Optimizing your unit economics:

Even with the right price, there's always room for improvement.

By analyzing your unit economics, you can identify areas where you can reduce costs (e.g., streamlining marketing campaigns) or increase customer lifetime value (e.g., offering loyalty programs).

This constant optimization ensures your business remains financially sustainable in the long run. Analysing your unit economics could reveal potential issues with high customer acquisition costs.

Developing strategies to fix those issues to improve profitability should include:

- a. **Reduce CAC:** Explore cost-effective marketing strategies like local partnerships or community events.
- b. **Increase ARPU:** Offer premium memberships with additional benefits like personalized training plans.
- c. **Increase Customer Retention:** Focus on creating a positive member experience with high-quality classes and excellent customer service. This can lead to longer memberships and increased CLTV.

As you can see, mastering financial planning and management is crucial for businesses to thrive. Developing accurate financial projections lays the groundwork for informed decision-making. Understanding unit economics and pricing is equally vital, as they are intricately interrelated concepts.

Exploring key metrics of unit economics and strategies to drive sustainability ensures long-term success in the competitive landscape of business.

## **E. Your Path to Profitability: Develop your venture's Financial Projection**

### **Objective and process**

A financial projection is essentially a **high-level operational plan for the venture to reach financial viability**. It outlines what the team will be doing, when and what the key sales and revenue targets are.

### **Key assumptions to reach viability.**

The most important task to **build a meaningful financial projection** for the launch or running of a venture is to very **purposefully outline the key assumptions** that the venture is making in some of the key areas to reach financial viability over a period.

These would typically include assumptions on:

- Cost to produce and deliver the product or service to a customer / user (COGS)
- Sales or user engagement targets for each month and the related growth rate
- The team skills and resources required to reach the projected growth rate.
- Marketing costs to support sales targets
- Minimum fixed costs that will be required to operate the business to meet the targets.
- Co-founder salaries and expectations....

You've already explored your venture's rough potential using the **Back-of-the-Envelope (BOE) Financial Planning Simulator**. Now, it's time to go deeper. It lets you test and tweak your assumptions – pricing, sales, costs, and more – and instantly see how they affect your venture's profitability and sustainability.

As you build your projections, don't forget to refer back to your BOE calculations. You might have been spot on – or you might need to course correct. That's expected. This is your opportunity to test different **scenarios** and see how one shift – say in customer growth or marketing spend – affects everything else.

You will use the 'Build Your Financial Plan' tool to incorporate the key assumptions around your venture. When building the key assumptions please pay attention to

Sensitivity Analysis :



- Test how changes in key assumptions (like sales volume, costs, etc.) impact financial outcomes.
- Helps in understanding risks and preparing for uncertainties.

#### Break-Even Analysis:

- Determine the point at which total revenue equals total costs, indicating no net loss or gain (to understand how much sales are needed to cover costs)

#### Cash Flow Analysis:

- Assess the cash inflows and outflows over a period to ensure liquidity – identify potential cash shortages and surpluses.

#### Profitability Analysis:

- Evaluate net profit margins to determine the venture's potential profitability – gross profit margins will show if the business can cover operational expenses.

#### Key indicators to evaluate.

When analyzing the financial projections, evaluate the following indicator to determine **potential financial viability** of the business:

#### Revenue Growth Rate:

- Note the rate at which revenue is expected to grow over time as it indicates market acceptance and scalability.

#### Gross Margin:

- The percentage difference between revenue and COGS as higher gross margins indicate better efficiency and profitability.

#### Net Profit Margin:

- The percentage of revenue that remains as profit after all expenses are deducted as it reflects overall profitability.

### Customer Acquisition Cost (CAC):

- The cost associated with acquiring a new customer for understanding the cost-efficiency of marketing and sales efforts.

By evaluating these indicators, you can gain initial insights into the financial health and sustainability of your planned start-up, allowing you to make informed decisions and adjustments to your business plan.

### Why Scenario Planning Matters

As you build your financial projection, it's important to go beyond a single set of numbers. Real-world businesses rarely follow one straight path.

**Scenario planning helps you test how changes in one area — like pricing, marketing spend or hiring — affect everything else.** It allows you to explore different ways to stay profitable, grow, or stay competitive under pressure.

This process shows you what trade-offs you might have to make. For example, lowering your prices may require tighter control over costs, smarter marketing, or better use of your team.

The goal isn't to chase perfect numbers — **it's to understand the different levers you can pull and the impact they have.** All while making sure your venture stays competitive, delivers quality, and actually sells.

### Call-To-Action

- Identify and state your assumptions, especially on pricing, marketing, expenses etc. for your venture. Refer to the assumptions you made while doing the Back-Of-The Envelope Planning.
- Use the 'Financial Planner' tool and analyze the break-even point, cash flow, growth rate, etc., and make changes in your assumptions, if needed to achieve profitability in a practical manner.
- Develop your financial projections for the next 12 months using the 'Financial Planner' tool.
- Ensure that your financial plan and projections are achievable